

Red Hat & Hershey: Automation Partner Onboarding Brief

1. Industry Context: The Drive for Automation in Confectionery The consumer packaged goods (CPG) and confectionery industries are navigating intense macroeconomic pressures, making operational efficiency a top priority. Historic inflation and extreme volatility in the global cocoa and sugar markets have severely pressured gross margins 1-3. Additionally, manufacturers are facing labor shortages and high turnover rates in industrial settings, which is driving a strong demand for automation 1. To combat these challenges, companies must streamline operations, optimize supply chains, and reduce manual overhead to protect their profitability.

2. Hershey's Strategic Focus on Automation Automation is central to Hershey's corporate strategy as it transforms into a "Leading Snacking Powerhouse" 2. This evolution is heavily supported by top-down, funded initiatives:

- **Advancing Agility & Automation (AAA) Initiative:** Approved by the Board of Directors in February 2024, the AAA Initiative is a multi-year productivity program designed to simplify and automate processes across IT, supply chain, manufacturing, and SG&A 4, 5. This initiative aims to generate \$300 million in ongoing annual savings by 2026 5.
- **Digital Lean & Connected Worker Programs:** On the factory floor, Hershey is replacing manual, paper-based workflows with digital tools 6, 7. This empowers frontline operators with real-time data and automated guidance to quickly resolve issues, driving continuous improvement and reducing waste 8, 9.

3. Red Hat's Automation Footprint and Strategy at Hershey Red Hat's strategic goal is to position the **Ansible Automation Platform (AAP)** as the core automation engine to help Hershey meet the cost-saving and efficiency mandates of the AAA Initiative.

- **Current State:** Hershey's current IT automation environment is fragmented. They rely heavily on community open-source Ansible (ansible-core) executed via GitLab runners, alongside various custom scripts 10. While they have expressed interest in AAP for networking in the past, they have not yet adopted the enterprise platform 10.
- **The Opportunity - Event-Driven Ansible (EDA):** Red Hat's primary strategy to drive AAP adoption is through Event-Driven Ansible 10, 11. Hershey is highly interested in integrating EDA natively with their existing IT service management (ServiceNow) and observability (Dynatrace) platforms.
- **Target Use Cases:** The joint focus is on automated IT remediation. The target workflow involves observability alerts automatically triggering Ansible remediation playbooks (such as adding F5 load balancer nodes), logging the incident in ServiceNow, and closing the ticket upon resolution. This addresses a major pain point for Hershey by eliminating long manual feedback loops and bypassing the need for heavy custom backend development within ServiceNow.

4. Partner Engagement and Next Steps The Red Hat account team is currently engaging with Hershey's Engineering and Architecture team, led by Jeff Ramsey 12.

- We have an upcoming on-site **"Tech Day" scheduled for Thursday, April 16th** 13.
- During this event, the Ansible roadmap, Event-Driven Ansible, and workflow automation (specifically ServiceNow integration) will be major focal points 11, 14.

Partner Directive: Your role will be to help accelerate the deployment and adoption of AAP and EDA. During customer conversations, please keep the focus strictly on the AAA Initiative, IT

remediation workflows, and the transition from open-source Ansible to the enterprise Ansible Automation Platform.